

The U.S. neighbor to the north should not be forgotten. Canadian stocks account for about 6 percent of the international equity market and about 3 percent of the global equity market. Adding a Canadian index fund to a well-diversified developed-market equity portfolio can increase currency diversification and hedge against a decline in the U.S. dollar.

Canada's economy consists of three main industries: finance, energy (oil and gas), and basic materials (mining and lumber). An investment in a Canadian index fund increases the portfolio's allocation to natural resources, and that can act as a hedge against rising commodities prices. See the investment list at the end of this chapter for one ETF that follows the MSCI Canada Index.

EMERGING MARKETS

Broadly defined, an emerging market is a less-developed country that is improving its free-market economy and its standard of living. These countries are becoming more competitive in the global marketplace and opening their markets to more international investment. Emerging countries also have organized securities exchanges that trade stocks and bonds of large enterprises domiciled in that country. Foreigners are allowed to own those securities either directly or indirectly through a fund.

An investible emerging market is defined by a number of factors, including gross domestic product per capita, local government regulations, perceived investment risk, foreign ownership limits, and capital controls. The MSCI Emerging Markets Index covers 22 investible countries. It is a market-weighted index that uses the float-adjusted value of each company to reflect restrictions on foreign investment. Some countries have much larger stock markets than others. Consequently, at times an emerging market index can be dominated by a few countries.

In an effort to reduce market dominance in the MSCI Emerging Markets Index, the Dimensional Fund Advisors (DFA) created an equal-weighted emerging index. This avoids a large allocation to one or two countries.

[Table 7-4](#) compares the risk and return of the DFA equal-weighted index to the market-weighted MSCI Emerging Markets Index. Since the inception of the DFA Index in 1999, the equal-weight methodology produced returns 0.5 percent higher than the market-weighted MSCI Index.